From Fed Up to Front Door

we're starting a housing co-op in London





Hepscott Road

Courtyard

BAGEL FACTORY

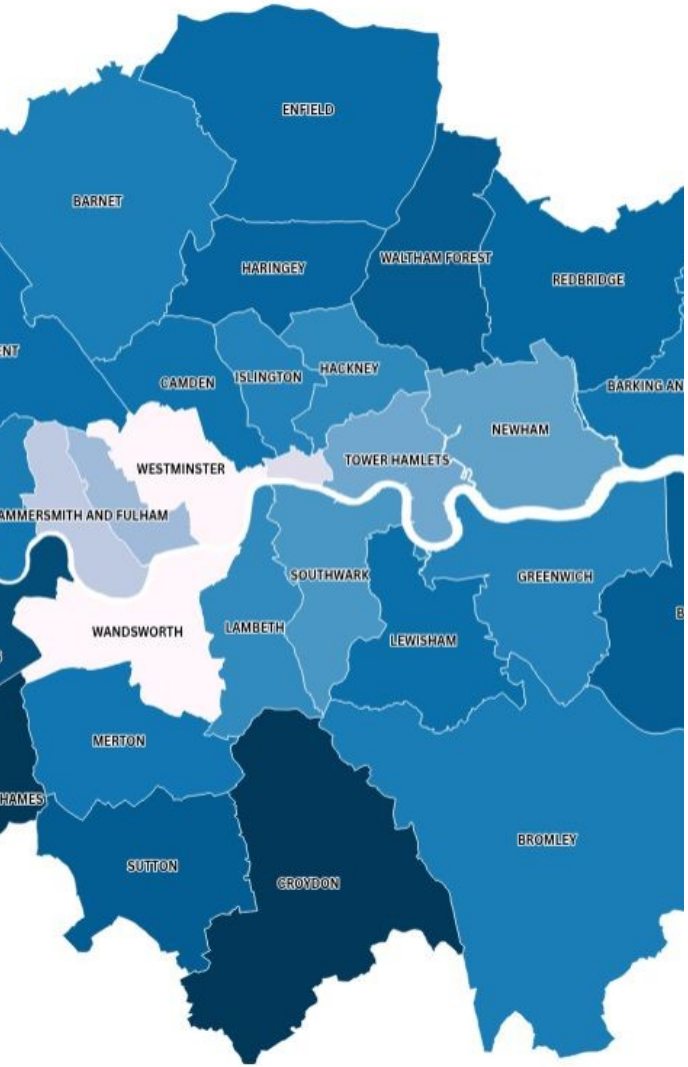
BLOCK C: THREE BED disabled

96sqm • 1033sqft

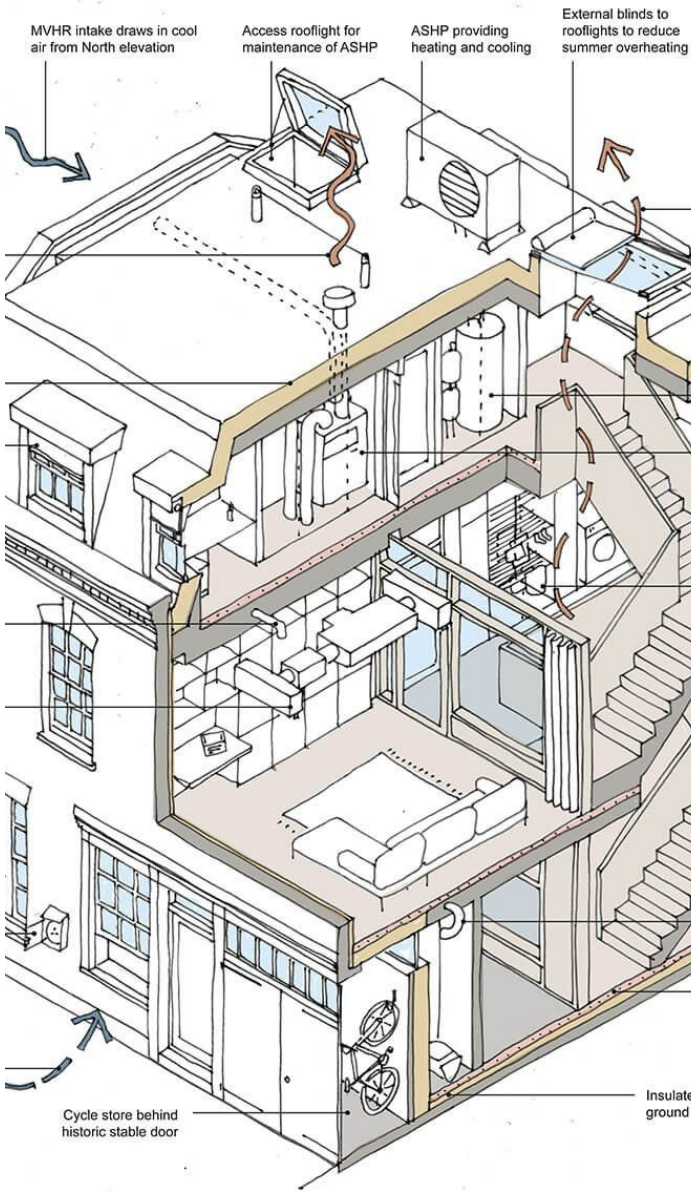
Apartments: 595

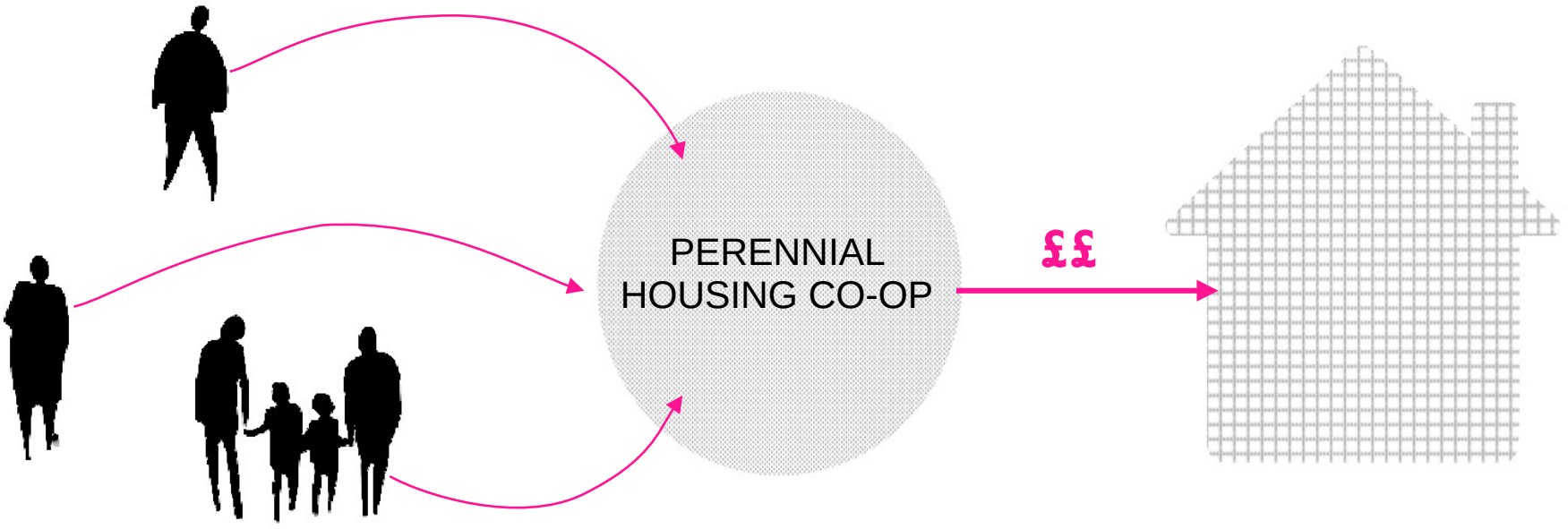
£750,000




ENFIELD
BARNET
HARINGEY
WALTHAM FOREST
REDBRIDGE
CAMDEN
ISLINGTON
HACKNEY
NEWHAM
WESTMINSTER
TOWER HAMLETS
SOUTHWARK
GREENWICH
WANDSWORTH
LAMBETH
LEWISHAM
MERTON
BROMLEY
SUTTON
CROYDON




MVHR intake draws in cool air from North elevation
Access rooflight for maintenance of ASHP
ASHP providing heating and cooling
External blinds to rooflights to reduce summer overheating
Cycle store behind historic stable door
Insulate ground


PERENNIAL
HOUSING CO-OP
££



Lou (she/they)

Ruby (she/they)





Danny (they/them)

Seb (he/they)

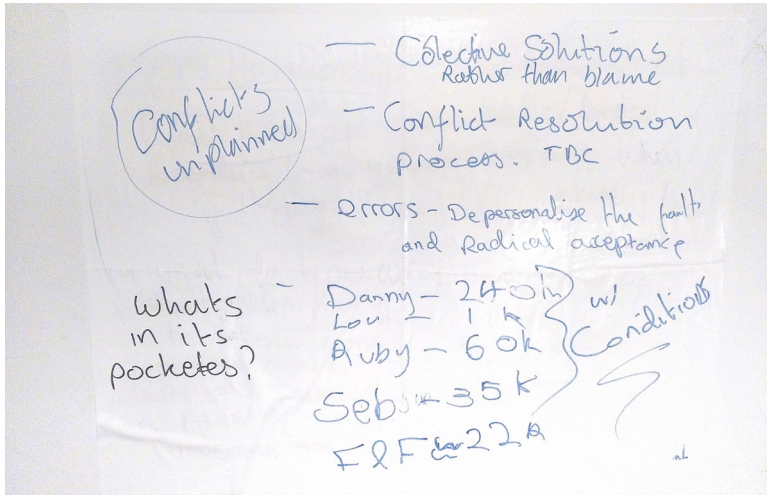


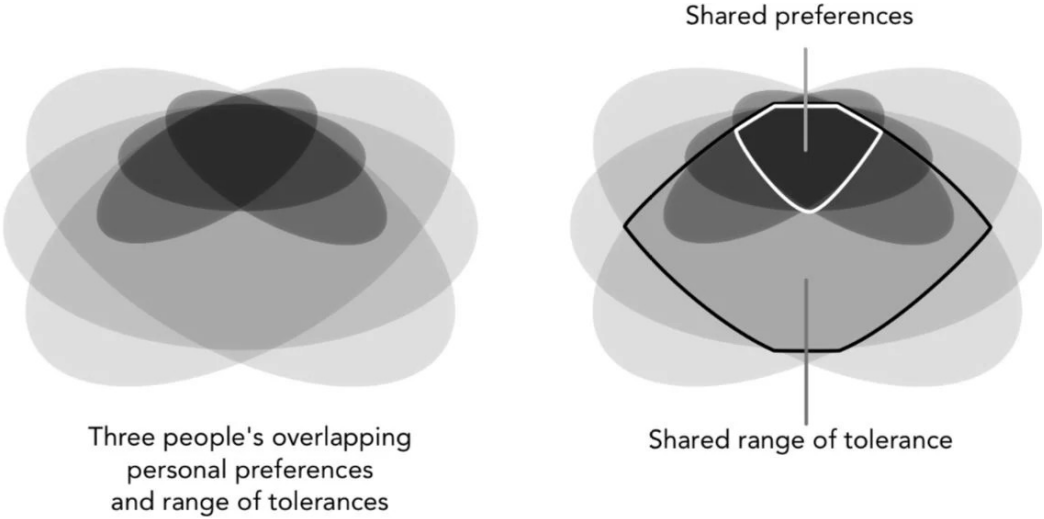

Main
Kitchen

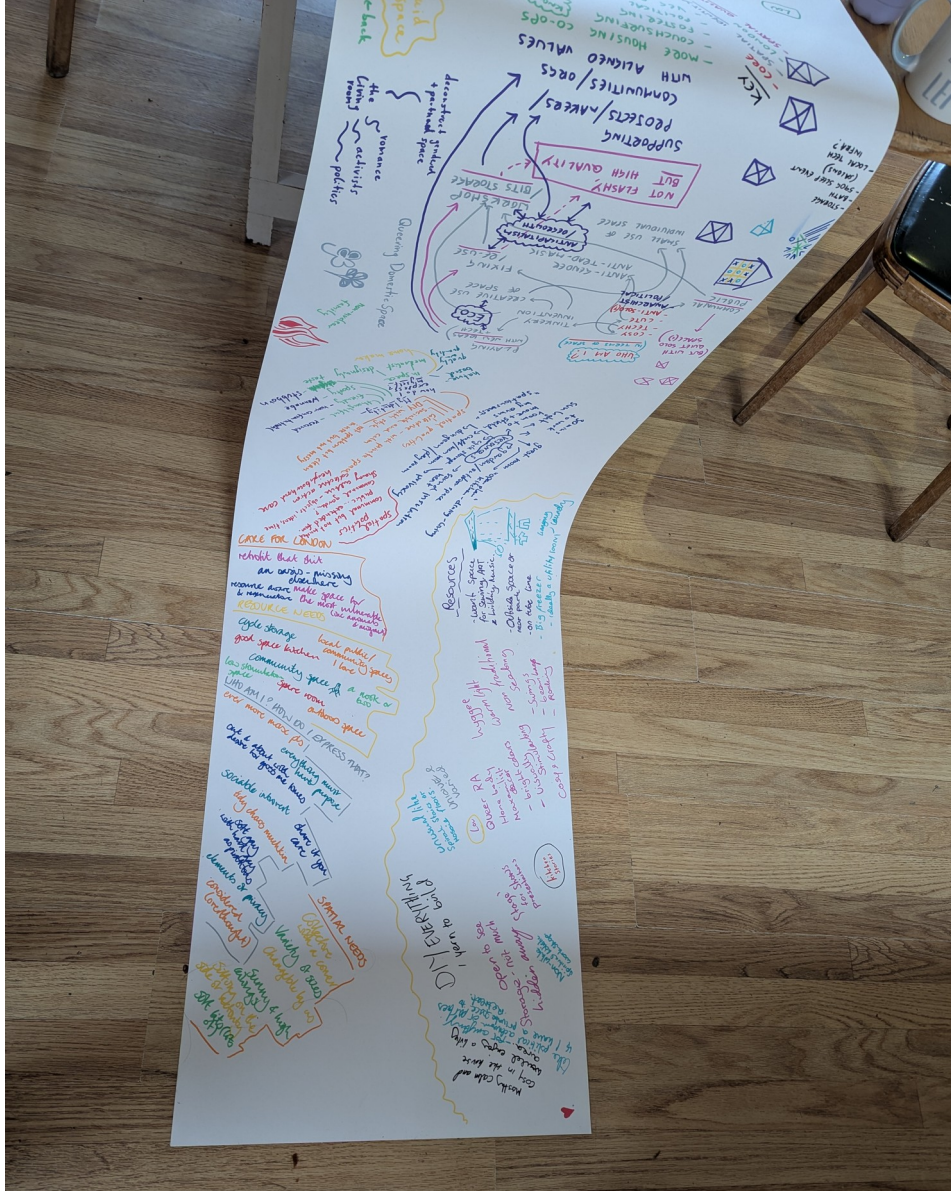
So what is it like to start a housing co-op?



two keen beans


Conflicts unplanned
— Collective Solutions Rather than blame
— Conflict Resolution proces. TBC
— Errors - Depersonalise the fault and Radical acceptance
Whats in its pockets?
Danny - 240k
Lou - 1k
Ruby - 60k
Seb - 35k
FLF - 22k
w/ Conditions


Shared preferences
Three people's overlapping personal preferences and range of tolerances
Shared range of tolerance


SUPPORTING PROJECTS/AREAS/ORGS
COMMUNITIES/ORGS WITH ALIGNED VALUES
NOT FLASHY BUT HIGH QUALITY
RESOURCE NEEDS
SPATIAL NEEDS
CABLE FOR LONDON


Main
Kitchen



Our roots planted so far...

- Started **meeting up** in October 2024
- Wrote our **vision statement**
- **Registered** with the FCA, December 2025
- Held our **first party!**
- Joined **Radical Routes**, January 2026
- Got our **website** started
- First **‘away weekend’** at Laughton Lodge
- Opened our **bank account**
- Made a first (low-ball) **offer on a house**!
- **Opened our loanstock offer** in April 2026
- Published **our loanstock booklet** (this week!)





Radical Routes

*“We want to see a world based on **equality and co-operation**, where people **give according to their ability** and **receive according to their needs**, where **work is fulfilling and useful** and creativity is encouraged, where decision making is open to everyone with **no hierarchies**, where the **environment is valued and respected in its own right** rather than exploited.*

- from Radical Routes ‘Aims & Principles’



Radical Routes

- **Secondary co-op** – members are co-ops
- Radical & anarchist **mutual aid network**
- **Knowledge sharing**, creation and advocacy
- Source of **collectively-held and managed funds**
- Quarterly **gatherings**
- **Bunch of cuties**!

So what are our asks?



- North-East London
- “in need of modernisation”
- 6+ bedrooms
- shared space > bedrooms/bathrooms
- ~ £800,000

Lou’s spell for our financial health



Private renting has changed

The Renters' Rights Act is bringing in new rights and responsibilities for tenants, landlords, and letting agents living and working in the private rented sector (PRS) in England.

As a landlord, you play an important role in delivering these reforms and need to understand what these changes mean for you and your business. That way, you can be confident that you're complying with the law and providing your tenants with a safe, affordable, and decent home.

This page provides an overview of the key changes and what they mean for you.

It only applies to private landlords with rental properties in England. These changes will not apply to private registered providers of social housing until 2027.



Perennial wants it!

Article 4 HMO Rules Confusion: Why Landlords Struggle with Compliance

Article 4 HMO Rules Confusion: Why Landlords Struggle with Compliance

The surge in Article 4 directions across the UK has led to widespread Article 4 HMO rules confusion among property investors. At its core, an Article 4 direction is a legal tool used by local councils to remove "permitted development" rights.

Normally, a landlord can convert a family home (C3) into a small HMO (C4) without a full planning application. However, once Article 4 is triggered, this convenience disappears, leaving many landlords unsure of where they stand legally.

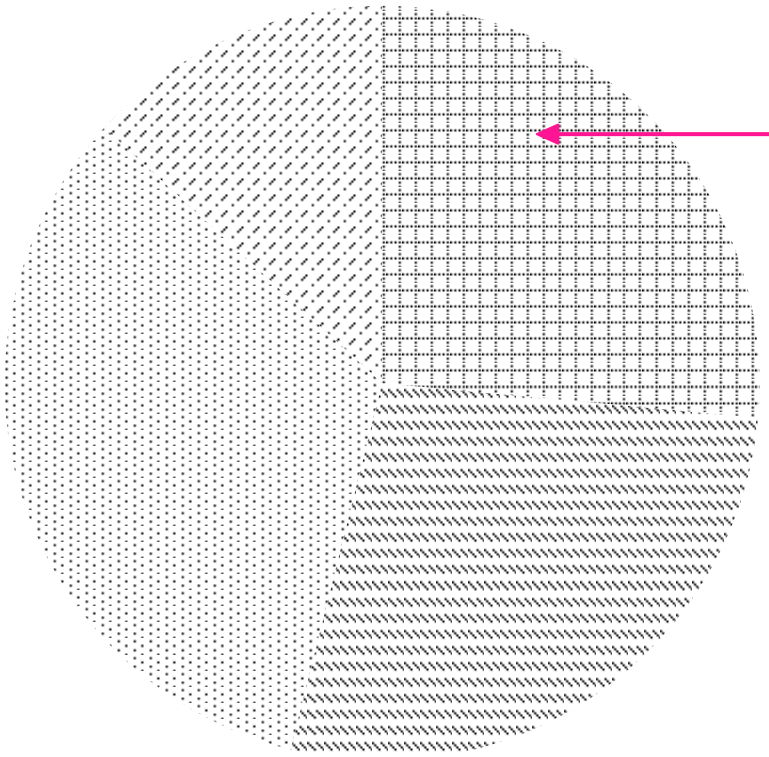
One of the biggest drivers of Article 4 HMO rules confusion is the assumption that planning and licensing are the same thing. Landlords often believe that if they have successfully secured their Article 4 HMO licensing, they have the "green light" from the council to operate.

In reality, these are managed by two completely different departments. You can be granted a license to house tenants while simultaneously being in breach of planning law, which could lead to a devastating enforcement notice.

Planning Permission vs. Licensing

To clear up the common Article 4 HMO rules confusion, you must treat your property strategy as a two-stage process. The first stage is planning: in an Article 4 area, you must apply for a change of use before you can legally house three or more unrelated people. The second stage is Article 4 HMO licensing. Even if you win the planning battle, you still need to satisfy the housing department's requirements regarding fire safety, room sizes, and management standards.

Many local authorities are now linking these two processes. In many UK cities, if a landlord applies for Article 4 HMO licensing but cannot prove they have the correct planning permission, the council may only grant a "limited" one-year license. This gives the landlord a short window to regularise the planning status, but if the planning application is subsequently refused, the license will not be renewed, effectively shutting the business down.



Loanstock still to raise

Radical Routes Loan

Mortgage

Internal Loanstock

External Loanstock



What is Loanstock?

- **Fixed-term loans** made to the co-op by individuals or organisations
- Lent for an **interest rate** and **length of time** as agreed between the co-op
- Can be from **friends & family**, **local residents**, persons with an **interest in the building**, **other co-ops**
- Often **people with money in savings accounts**, wanting to invest ethically & see their **money used for something good**
- **Cuts out the middle man** (bank)

YEAR	1	2	3	4	5
Loan interest rates					
Average mortgage rate on new loans	8.00%	8.25%	8.50%	8.75%	9.00%
Average RR rate for new loans	3.25%	3.50%	3.75%	4.00%	4.25%
Housing					
Void this year	3.00%	3.00%	3.00%	3.00%	3.00%
Average rent this year	£136.93	£141.04	£145.27	£149.63	£154.12
YEAR	**1**	**2**	**3**	**4**	**5**
MONEY IN					
Mortgage type loans	£420,000	£0	£0	£0	£0
Loanstock in	£491,000	£0	£0	£21,388	£0
Rental income	£39,313	£44,173	£45,498	£46,863	£48,269
Bank interest		£31	£59	£89	£37
TOTAL IN	**£950,313**	**£44,204**	**£45,557**	**£68,339**	**£48,307**
YEAR	**1**	**2**	**3**	**4**	**5**
MONEY OUT					
Day 1 expenses	**£908,100**				
Property purchase	£870,000				
Start-up cost	£38,100				
House expenses	**£6,000**	**£7,505**	**£7,730**	**£7,962**	**£8,201**
Void		£1,325	£1,365	£1,406	£1,448
Extraordinary maintenance					
House insurance	£1,500	£1,545	£1,591	£1,639	£1,688
Maintenance	£1,500	£1,545	£1,591	£1,639	£1,688
Council Tax	£3,000	£3,090	£3,183	£3,278	£3,377
Admin expenses	**£790**	**£814**	**£838**	**£863**	**£889**
Bank charges	£72	£74	£76	£79	£81
RR member payments	£368	£379	£390	£402	£414
Accountant	£350	£361	£371	£382	£394
New loans	**£31,314**	**£32,164**	**£33,009**	**£33,849**	**£34,683**
Mortgage	£25,569	£26,217	£26,862	£27,502	£28,138
RR loan	£5,745	£5,947	£6,148	£6,347	£6,545
OPERATING CASH SURPLUS	**£1,208**	**£3,721**	**£3,979**	**£4,277**	**£4,533**

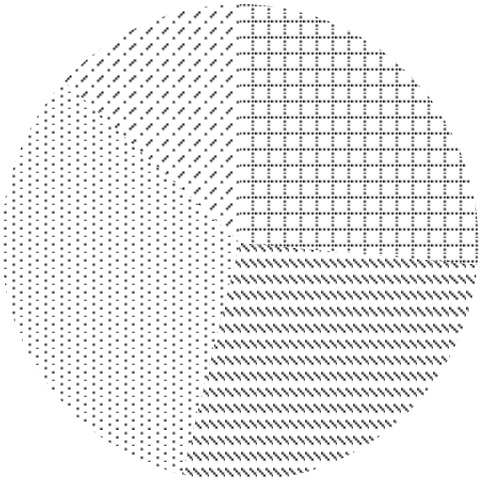
The Lowdown

- **LHA = £136.93 a week** in Haringey, so if we are 6 people that makes **~£40,000 rental income** per year
- Perennial will have **costs of ~£10,000 per year** in maintenance, council tax, insurance etc, which leaves **~£30,000 to pay off debts**
- That is enough for repayments on **£420,000 of borrowing** (a mortgage of ~£300,000 + a Radical Routes loan of £120,000)
- We are looking at house **purchase costs of approx £870,000** including stamp duty, so we need to raise **~£450,000 in loanstock**

So far we have raised...:







So far we have raised...:





PINE

- quick verdant growth, lush and fragrant

enthusiastic about the project and **keen to help**. They can afford to lend £2,000 to Perennial for five years at 0% interest, **excited to help get the ball rolling**.

Their capital (£2,000) is repaid at the end of term.



OAK

- stable and wise, with limbs supporting the wider ecosystem

Oak has £120,000 in savings accounts and is interested in **moving away from banks** with dubious investments. They do need a **regular income**, so ask for 3% interest.

Agree amortised return of £12,000 a year for 15 years. A total of £160,000 is returned.



WALNUT

- hardy and vigorous, nutritious gifts year on year

Walnut is someone who can offer **£10,000** for **10 years**, but requests **2% interest** on this.

Perennial agrees to pay interest (£200) yearly, (£200) with the capital (£10,000) repaid at end of term.



YEW

- slow and steady, for the long-term

Yew has £30,000 to **invest long-term** and doesn't need it back quickly. They are looking for an **alternative to pension investments**.

Agree amortised return, starting in 35 years. A total of £180,000 is returned, paying £1,000 a month for 15 years.

Or choose your own adventure...

KEY INFORMATION:

- **Offer Open:** 27th April - 31st July 2026
- **Amount:** £100 - £100,000
- **Interest:** let's discuss!
- **Repayment Period:** any from 2-50 yrs